Rational AG (RAA GY) — Initiation of Coverage

Investment Research Portfolio · Project 1 · Capital goods / commercial kitchen equipment · 7 October 2026 · Price €566.50 (Xetra close, 7 Oct 2026)

Rating: SELL · 12-month price target €414 (-27%)

A superb business at a price that needs a low discount rate. Rational dominates combi-steaming with around half of the world market, earns a return on invested capital of 65% and has no debt. None of that is in question. What is in question is the price. At €566.50 the shares trade on 22.4× next-twelve-month earnings and 16.3× EV/EBIT, a 47% and 74% premium to Middleby, Electrolux Professional and Hoshizaki. Our ten-year DCF, using the cost of equity the brief prescribes (9.79%), gives a probability-weighted 12-month target of €414. That is 27% below the share price, so the rating rule gives Sell.

- **Growth has normalised.** Sales grew 6.0% in 2024, 5.5% in 2025 and 5.8% in H1 2026, down from a 2016–2019 average of 11%. China fell 29% in 2025, Asia is still shrinking (–2% in H1 2026) and US tariffs cost about one point of gross margin. Our base case (+5.9% in 2026, 6–7% a year to 2030) sits slightly below consensus: our 2026 EBIT is -2.6% below.
- **The discount rate has changed, not the business.** The 10-year Bund yields 3.55% against roughly zero in 2016–2021. Rational's five-year beta against the STOXX Europe 600 is 1.73 (1.49 Blume-adjusted). At today's price the market is discounting at 7.2%, which is a beta of about 0.88.
- **The call holds across the sensitivity grid.** 24 of the 25 combinations of cost of equity (±1pp) and terminal growth (1–3%) give a Sell. Even the bull case (€485: 28% EBIT margins and 6.7% a year of sales growth for a decade) is below the share price.

Key financials	2023A	2024A	2025A	2026E	2027E	2028E
Sales (EUR m)	1,126	1,194	1,260	1,333	1,421	1,515
Growth	10.1%	6.0%	5.5%	5.9%	6.6%	6.6%
EBIT (EUR m)	277	314	333	340	370	401
EBIT margin	24.6%	26.3%	26.4%	25.5%	26.0%	26.5%
EPS (EUR, reported)	18.98	22.03	22.33	–	–	–
FCFF (EUR m)	–	–	–	220	237	263

Key financials. A = reported (annual reports); E = this report's base case. FCFF = free cash flow to firm after lease payments. EPS forecasts are not shown because the model values the business on EBIT and holds net cash separately.

Market data	Value
Market capitalisation	€6,441m
Net cash (30 Jun 2026)	€425m
Enterprise value	€6,016m
52-week range	€560.5 – €772
Free float	44.8% (55.2% held by the founding family's holding)
Shares outstanding	11.37m

1. Investment thesis

Our case is about the price of quality, not its existence. We rate the shares Sell for three reasons.

1.1 Quality is fully recognised

Rational is a textbook compounder. Sales grew from €613m in 2016 to €1,260m in 2025 (8.3% a year). The EBIT margin was above 26% in every year outside the pandemic, and ROIC averaged 70% over 2016–2025 against a cost of capital of 7%–10% (Figure 4). That gap explains why Rational trades at a premium to its peers. The question for an investor is whether today's premium is still too large, and at 22× earnings it is: the peers' median NTM P/E is 15×.

1.2 Growth is now mid-single-digit

From 2016 to 2019 sales grew by about 11% a year. They rebounded strongly after the pandemic (+20% in 2021, +31% in 2022) and have since settled at 5.5–6%. H1 2026 sales rose 5.8% (€641.5m), with Europe ex-Germany +9%, North America +4%, Asia –2% and the rest of the world –10%. Management's own long-term ambition is "mid to high single-digit" growth. Our base case assumes 5.9% in 2026, 6.5–6.6% a year from 2027 to 2030, then a fade to 3% by 2035, which puts it slightly below consensus for 2026–2027.

1.3 The cost of capital is no longer near zero

Between 2016 and 2021 the 10-year Bund yield was –0.6% to +0.5%. Today it is 3.55%. With Damodaran's implied equity risk premium of 4.20% and a Blume-adjusted beta of 1.49, the brief's CAPM gives 9.79%. Rational has net cash, so this is also its WACC. The current price implies a discount rate of 7.2%. The bull case for the shares therefore rests on investors continuing to treat Rational as low-risk (a beta near 0.9, close to the 0.74 one-year MDAX beta the company reports). Its own share price over the last five years argues otherwise: monthly returns moved 1.7× as much as the European market (R^2 0.59).

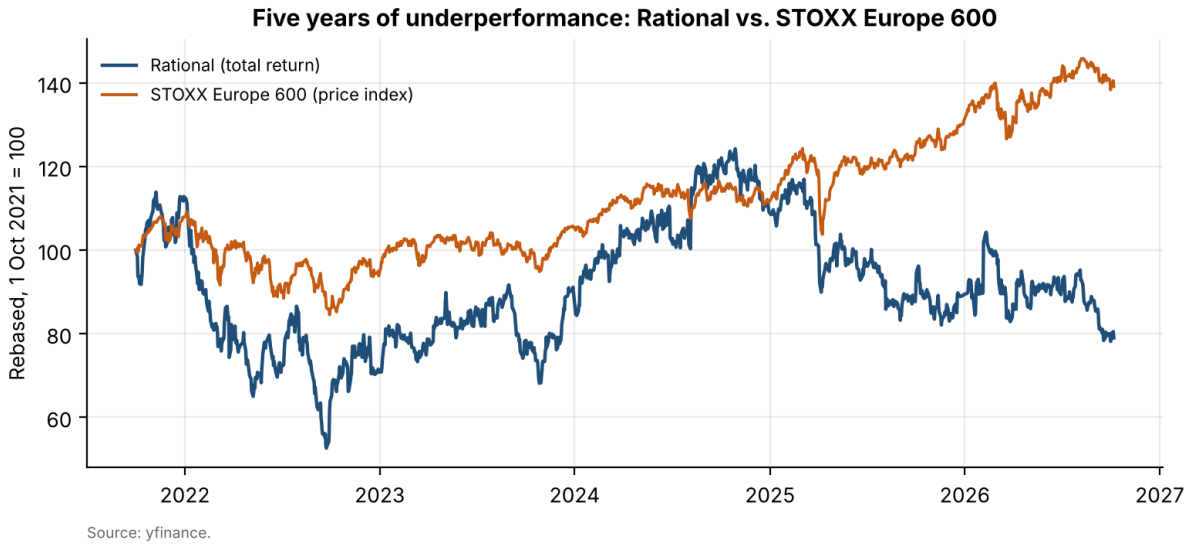


Figure 1. Rational (total return) vs. STOXX Europe 600, October 2021 – October 2026.

2. Business

Rational, founded in 1973 in Landsberg am Lech (Bavaria), makes two cooking systems for professional kitchens:

- **iCombi** (88% of 2025 sales): combi-steamers that cook with steam, hot air or both, under software that controls the cooking process. They replace grills, stoves and ovens. The iCombi Pro is the flagship; the iCombi Classic is a manual model; the iCombi One, made in China, is sold only there.
- **iVario** (12% of 2025 sales, up from 7% in 2016): multifunction pans that cook with contact heat or in liquid. They replace fryers, boiling pans and tilting pans. iVario sales grew 14% in H1 2026, against 5% for iCombi.

- **After-sales**: accessories, spare parts, care products and service were 31% of sales in both 2025 and H1 2026. This recurring revenue base supports margins.

Customers range from restaurants, hotels and caterers to hospitals, schools, military kitchens, quick-service chains, supermarkets and ghost kitchens. Rational sells mainly through dealers, supported by its own sales and chef-training staff. Production is in Landsberg (combi-steamers) and Wittenheim, France (iVario), plus a plant in China for the iCombi One. The company had 2,912 employees at 30 June 2026. The founding family's holding company owns 55.2% of the shares; the rest is free float (AR 2025).

Sales by customer region (EUR m)	2016	2019	2022	2025	CAGR 2016–25	Share 2025	H1 2026 growth
Germany	82	100	125	129	5.1%	10.3%	8.7%
Europe ex-Germany	295	377	439	536	6.9%	42.6%	8.6%
North America	92	159	221	304	14.2%	24.2%	4.2%
Asia	77	120	126	135	6.4%	10.7%	-2.0%
Rest of world	66	89	111	155	9.8%	12.3%	3.7%
Total	613	844	1,022	1,260	8.3%	100.0%	5.8%

Table 1. Sales by customer region. Rest of world includes Latin America (reported separately by Rational: €84.6m in 2025). Sources: annual reports' regional breakdown; H1 2026 report.

3. Industry and competition

Rational estimates that about 4.8 million kitchens could use a combi-steamer and that only around 25% currently do, and that the iVario's addressable market is about 1.6 million customers (AR 2025). It puts its own share of the combi-steamer market at around 50%. Demand is driven by the number of meals eaten outside the home, labour shortages in kitchens (which favour automated cooking), and energy and space costs. It is also tied to the restaurant capex cycle: a combi-steamer is a discretionary purchase that customers delay when their margins are squeezed, as in 2020 (sales –23%).

	Listing	Focus	EBIT margin 2026E	EV/EBIT NTM	P/E NTM
Rational	Xetra (EUR)	Combi-steamers, multifunction pans	25.9%	16.3×	22.4×
Middleby	Nasdaq (USD)	Commercial foodservice and residential kitchen equipment	20.3%	11.8×	15.3×
Electrolux Professional	Stockholm (SEK)	Food, beverage and laundry equipment	10.3%	9.3×	12.0×
Hoshizaki	Tokyo (JPY)	Ice machines, refrigerators, dishwashers	10.9%	8.2×	15.3×

Table 2. Listed peers. EBIT margin = consensus 2026 EBIT / consensus 2026 sales. Multiples: price on 7 Oct 2026 (Hoshizaki 6 Oct) and MarketScreener consensus; NTM = 23% FY2026 + 77% FY2027; EV uses consensus end-2026 net debt.

Rational's margin is more than twice that of Electrolux Professional (10.3%) and Hoshizaki (10.9%) and well above Middleby's (20.3%). None of the three is a pure combi-steamer company, so the comparison is imperfect; the multiples comparison should be read with that in mind. The competitive risk the annual report itself flags is that a larger competitor, created by mergers, could close the technology gap.

4. Financials

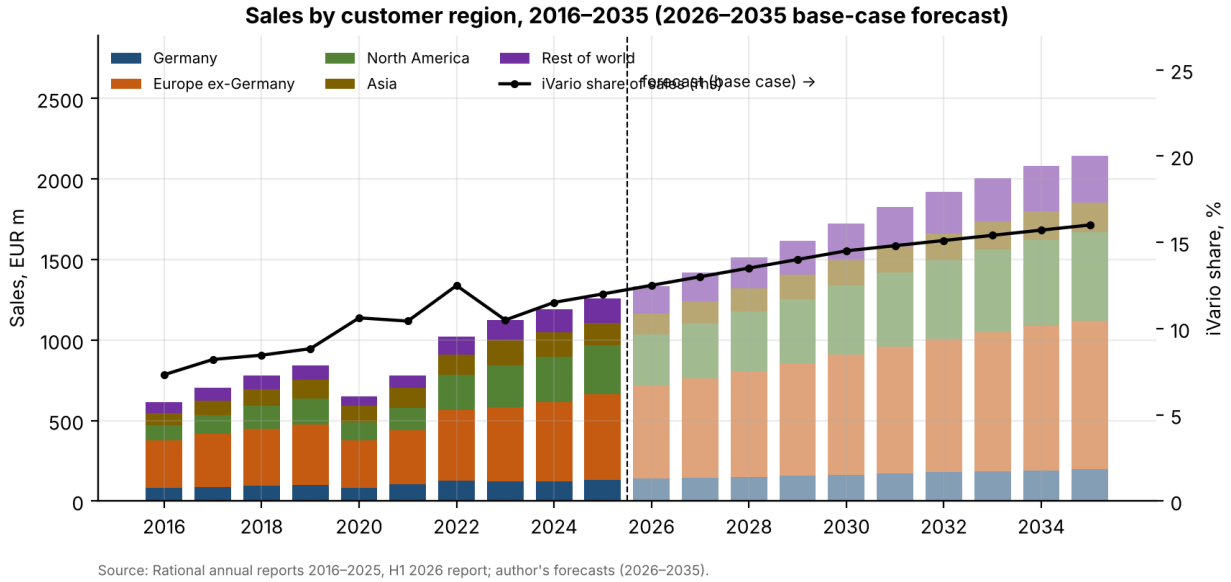


Figure 2. Sales by region 2016–2025 (reported) and 2026–2035 (base case), with the iVario share of sales.

The revenue build forecasts each customer region from its 2025 level, using growth rates set for each region (Appendix A). Within each region the iVario share is assumed equal to the group average, because Rational does not disclose the product × region split. The group iVario share rises by 0.5pp a year to 2030, in line with the 2016–2025 pace (+0.52pp a year), and by 0.3pp a year after that.

EUR m	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025
Sales	613	702	778	844	650	780	1,022	1,126	1,194	1,260
Gross margin	61.8%	60.7%	58.7%	59.0%	55.4%	55.1%	55.3%	56.7%	59.2%	59.0%
EBIT margin	27.2%	26.7%	26.4%	26.5%	16.4%	20.5%	23.2%	24.6%	26.3%	26.4%
Net profit	127	143	157	172	80	124	186	216	251	254
Operating cash flow	129	146	144	199	93	172	161	258	283	253
Capex	25	34	46	41	33	26	37	35	32	34
Dividend paid (EUR/share)	7.50	10.00	11.00	9.50	5.70	4.80	10.00	13.50	13.50	15.00

Table 3. Ten-year history from the annual reports (EUR m unless stated). Dividends paid include special dividends (€2.50 in 2022–2023; €4.00 paid in 2026 for fiscal 2025).

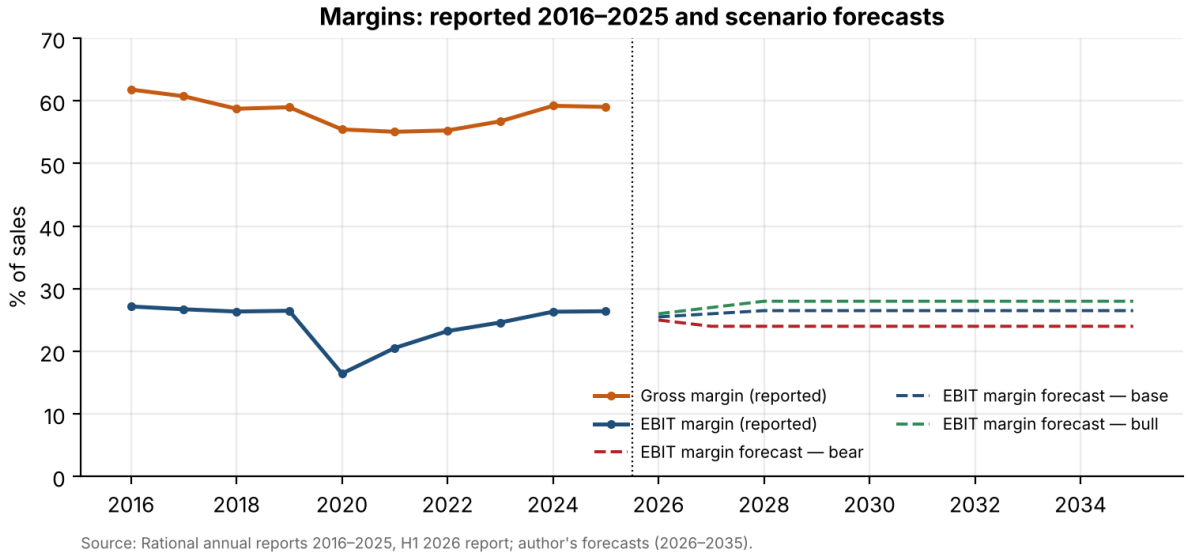


Figure 3. Gross and EBIT margins, reported and forecast by scenario.

The EBIT margin has recovered from 16.4% (2020) to 26.4% (2025). Guidance for 2026 is 25–26%, which includes a one-off US tariff refund of about €14m. Without it, the margin would be roughly one point lower, so our 25.5% base case is mid-range. We assume 26.0% in 2027 and 26.5% from 2028, the pre-pandemic level. The balance sheet is very strong: equity is 77% of total assets and net financial assets were about €430m at 30 June 2026, after the €227.4m dividend.

4.1 First half of 2026

EUR m	H1 2026	H1 2025	Change
Sales	641.5	606.2	+5.8%
– Germany	65.6	60.4	+8.7%
– Europe ex-Germany	285.1	262.5	+8.6%
– North America	154.0	147.8	+4.2%
– Asia	65.4	66.8	-2.0%
– Rest of world incl. Latin America	71.3	68.8	+3.7%
– iCombi	562.2	536.6	+4.8%
– iVario	79.4	69.6	+14.0%
EBIT	169.9	153.4	+10.8%
EBIT margin	26.5%	25.3%	+1.2pp

Table 4. H1 2026 vs. H1 2025 (H1 2026 report). The EBIT margin includes the US tariff refund; the company states a currency-adjusted margin of 26.8%.

4.2 Cash flow and capital allocation

EUR m	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025
Operating cash flow	129	146	144	199	93	172	161	258	283	253
Capex	-25	-34	-46	-41	-33	-26	-37	-35	-32	-34
Free cash flow	105	112	98	158	59	146	123	224	251	219
Dividends paid	85	114	125	108	65	55	114	153	153	171
Cash and deposits (31 Dec)	278	267	243	282	257	339	342	406	503	546

Table 5. Cash flow and liquidity (annual reports). Deposits = fixed-term deposits or other current financial assets.

From 2016 to 2025 Rational generated €1,496m of free cash flow and paid out €1,143m in dividends (76%). It has not bought back shares, and the share count has been 11.37m throughout. Capex peaked at 5.9% of sales in 2018 (capacity expansion in Landsberg and Wittenheim) and has since run at about 3%. The new

service-parts building raised H1 2026 capex to €16.5m from €9.1m.

5. Valuation

5.1 Discounted cash flow

We value free cash flow to the firm over 2026–2035 and add a terminal value growing at 2.0% a year. The discount rate is the cost of equity from CAPM: risk-free rate 3.55% (Bundesbank 10-year Bund yield on 2026-10-07) + beta 1.486 (Blume-adjusted from a raw 1.726, 60 monthly returns against the STOXX Europe 600, October 2021 – September 2026, standard error 0.19) × ERP 4.20% (Damodaran implied ERP, 2026-10) = 9.79%. Rational has no financial debt, so WACC equals the cost of equity. Lease payments are deducted from FCFF. Net cash at 30 June 2026 (cash, fixed-term deposits and fund units, less pensions: €425m) is added to enterprise value. The 12-month target is today's value per share grown at the cost of equity, less the FY2026 dividend payable in May 2027 (70% payout).

Scenario	Bear (25%)	Base (50%)	Bull (25%)
Sales CAGR 2025–2035	3.5%	5.5%	6.7%
EBIT margin 2028–2035	24.0%	26.5%	28.0%
Enterprise value (EUR m)	3,164	4,078	4,763
Value per share today	€316	€396	€456
12-month target	€332	€419	€485
Terminal value / EV	50%	53%	54%

*Table 6. Scenarios. Bear: regional growth 2pp lower in 2026 and 3pp lower in 2027–2030, EBIT margin 24%. Bull: +1pp and +2pp, margin 28%. Probability-weighted target: **€413.65**.*

EUR m	Bear	Base	Bull
PV of FCFF, H2 2026–2035	1,575	1,932	2,190
PV of terminal value	1,590	2,146	2,573
Enterprise value	3,164	4,078	4,763
+ Net cash (30 Jun 2026)	425	425	425
Equity value	3,590	4,503	5,188
Value per share (EUR)	315.73	396.03	456.30
+ 12 months at the cost of equity (EUR)	30.92	38.78	44.68
– FY2026 dividend paid May 2027 (EUR)	-15.10	-15.70	-16.16
12-month target (EUR)	331.54	419.11	484.82

Table 7. From enterprise value to the 12-month target, by scenario.

Cost of equity \ g	1.0%	1.5%	2.0%	2.5%	3.0%
ke 8.79%	€433 (-24%)	€449 (-21%)	€467 (-18%)	€489 (-14%)	€514 (-9%)
ke 9.29%	€409 (-28%)	€423 (-25%)	€439 (-23%)	€456 (-19%)	€477 (-16%)
ke 9.79%	€389 (-31%)	€400 (-29%)	€414 (-27%)	€429 (-24%)	€446 (-21%)
ke 10.29%	€370 (-35%)	€380 (-33%)	€392 (-31%)	€405 (-29%)	€419 (-26%)
ke 10.79%	€354 (-38%)	€363 (-36%)	€373 (-34%)	€383 (-32%)	€396 (-30%)

Table 8. Probability-weighted 12-month target (upside vs. €566.50) by cost of equity and terminal growth. 24 of 25 cells imply Sell (≤ –10%).

5.2 What the share price implies

Holding the base case fixed, the share price of €566.50 is consistent with a cost of equity of 7.2% (a beta of about 0.88). Keeping our 9.79% cost of equity, the price instead needs either (a) sales growth about 9 points a year higher in every region from 2027 to 2030 (roughly 15% a year, more than twice the rate of the last three years), or (b) an EBIT margin of 38% from 2027, against a ten-year high of 27.2% (2016). Neither looks likely. The real debate is about the discount rate.

5.3 Comparables and the ROIC premium

At the peer-median NTM EV/EBIT (9.3×) Rational would be worth €342 a share; at the peer-median P/E (15.3×), €387. A premium is deserved. Figure 4 shows ROIC between 32% (2020) and 105% (2016) against a cost of capital of 7–10%, a spread none of the peers matches. But the market already pays 74% more per euro of EBIT. Our DCF, which credits Rational with its higher growth and margins, still lands below the share price.

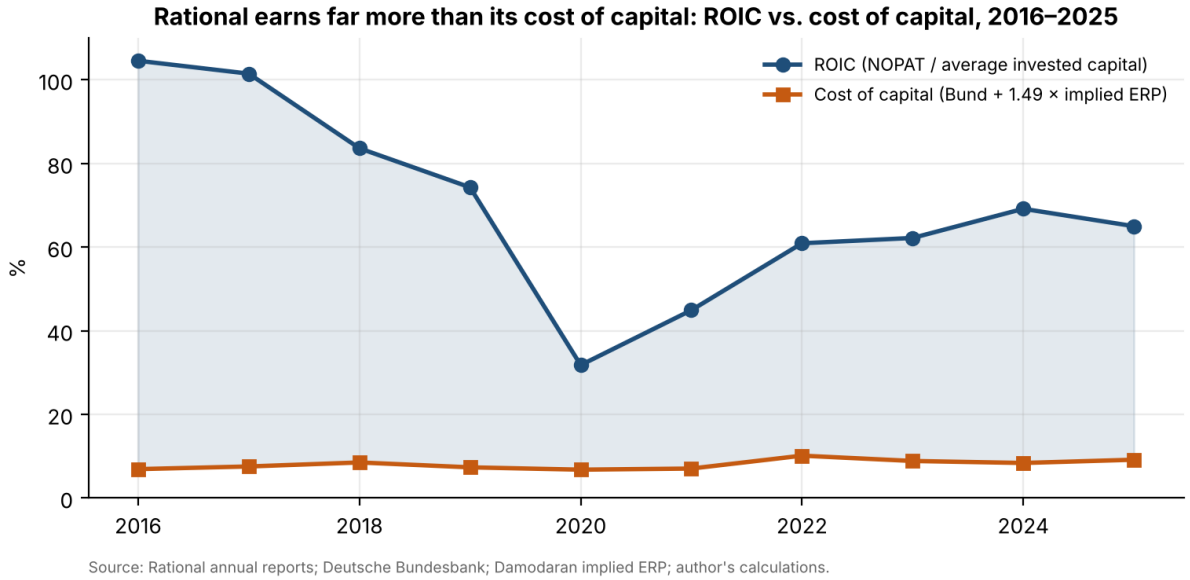


Figure 4. ROIC (NOPAT / average invested capital; invested capital = equity + pensions – cash and deposits) vs. cost of capital (year-end Bund + 1.49 × Damodaran ERP).

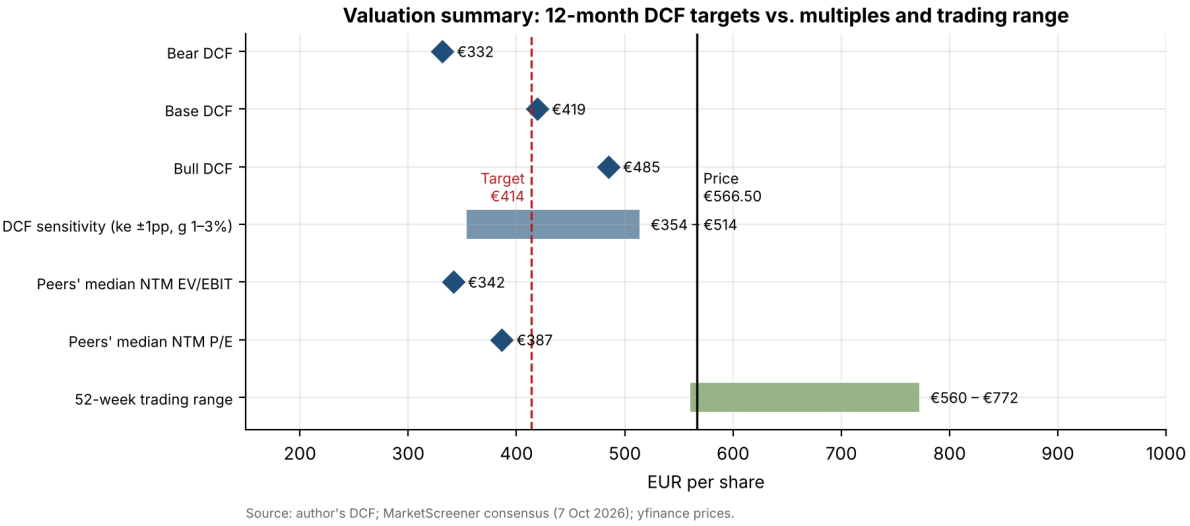


Figure 5. Valuation summary.

6. Catalysts

- **5 November 2026 — 9M 2026 statement.** Q3 2025 sales were €312.0m; the 9M print shows whether full-year growth reaches the 'mid to high single-digit' guidance. To hit 7% for 2026, H2 sales must rise about 8%. Our base case assumes 6%.
- **19 November 2026 — Capital Markets Day** (AR 2025 financial calendar). Any mid-term targets for China, North America and the iVario could move expectations either way.
- **March 2027 — FY2026 results and 2027 guidance.** 2027 is the first full year without the tariff refund. The dividend proposal (policy ~70% payout, plus specials in some years) is announced with the results.

- **US tariff decisions.** Rational makes everything in Europe and exports to the US; North America was 24% of H1 2026 sales.

7. Risks to our rating

Upside risks (to a Sell):

- **Lower discount rate.** At the beta the share price implies (about 0.88) our target would be close to today's price. If Bund yields fall back, or the market keeps treating Rational as defensive, the shares can stay expensive.
- **Faster growth.** China re-accelerating with the iCombi One, iVario penetration, or a strong replacement cycle. Our bull case (6.7% a year for ten years, 28% margins) is worth €485.
- **Capital return.** Net cash of about €430m (6.6% of market capitalisation) could fund special dividends or buybacks.

Downside risks (that would make the stock cheaper still):

- **US tariffs:** management estimates about one point of gross margin; higher rates or a loss of the price increases (4–5% in the US) would hit margins further.
- **China:** sales fell 29% in 2025; Asia declined again in H1 2026 (–2%).
- **Restaurant capex cycle:** 2020 showed sales can fall more than 20% when customers stop investing.
- **Competition:** the annual report names the risk of larger competitors formed by mergers catching up technologically.

Appendix A. Forecast assumptions

Base-case sales growth	2026	2027–2030	2035 (linear fade from 2031)	Reported CAGR 2016–2025
Germany	7.0%	4.5%	3.0%	5.1%
Europe ex-Germany	8.0%	6.5%	3.0%	6.9%
North America	4.0%	8.0%	3.0%	14.2%
Asia	-2.0%	4.0%	3.0%	6.4%
Rest of world	8.0%	8.0%	3.0%	9.8%

Table A1. Base-case regional growth (EUR, nominal). Bear: –2pp (2026) and –3pp (2027–2030); bull: +1pp and +2pp. All scenarios fade to 3% by 2035.

Assumption	Value	Evidence
Tax rate on EBIT	25.0%	Effective rate 23.1% (2024), 25.6% (2025)
D&A / sales	3.0%	2.9–3.1% in 2022–2025
Capex / sales	3.5% (2026–27), 3.2% after	New service-parts building; 2.6–3.1% in 2023–2025
Net working capital / sales	22.5%	21.4–24.9% in 2021–2025
Lease payments / sales	0.9%	0.94% in 2025
Dividend payout	70%	Company policy (H1 2026 report)
iVario share step (base)	+0.5pp a year to 2030, +0.3pp after	+0.52pp a year 2016–2025
EBIT margin (bear / base / bull)	24.0% / 26.5% / 28.0% from 2028	26.4–27.2% in 2016–2019 and 2024–2025

Table A2. Other forecast assumptions (identical across scenarios unless stated).

Base case, EUR m	2026	2027	2028	2029	2030	2031	2032	2033	2034	2035
Sales	1,333	1,421	1,515	1,615	1,723	1,825	1,920	2,005	2,080	2,143
Growth	5.9%	6.6%	6.6%	6.6%	6.6%	5.9%	5.2%	4.5%	3.7%	3.0%
iVario share	12.5%	13.0%	13.5%	14.0%	14.5%	14.8%	15.1%	15.4%	15.7%	16.0%
EBIT	340	370	401	428	456	484	509	531	551	568
EBIT margin	25.5%	26.0%	26.5%	26.5%	26.5%	26.5%	26.5%	26.5%	26.5%	26.5%
NOPAT	255	277	301	321	342	363	382	399	413	426
D&A	40	43	45	48	52	55	58	60	62	64
Capex	-47	-50	-48	-52	-55	-58	-61	-64	-67	-69
Change in NWC	-17	-20	-21	-23	-24	-23	-21	-19	-17	-14
Lease payments	-12	-13	-14	-15	-16	-16	-17	-18	-19	-19
FCFF	220	237	263	281	299	320	339	357	374	388

Table A3. Base-case forecast, 2026–2035.

Appendix B. Reported statements, 2016–2025 (EUR m)

Income statement	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025
Sales revenues	613.0	702.1	777.9	843.6	649.6	779.7	1,022.3	1,125.8	1,193.5	1,259.6
Cost of sales	-234.2	-275.7	-321.0	-346.1	-289.5	-350.5	-457.3	-487.2	-486.9	-516.1
Gross profit	378.8	426.4	456.9	497.6	360.1	429.3	565.1	638.6	706.6	743.4
Sales and service expenses	-155.6	-171.5	-184.0	-198.1	-166.9	-187.6	-236.6	-254.3	-264.8	-281.7
R&D expenses	-28.8	-33.2	-38.1	-42.0	-41.7	-45.1	-44.8	-52.6	-66.0	-75.8
G&A expenses	-26.4	-29.8	-33.3	-37.3	-36.6	-40.0	-47.0	-52.0	-54.7	-53.8
Other operating income	12.4	8.4	13.2	12.3	12.7	13.9	29.3	22.1	17.9	15.8
Other operating expenses	-13.8	-12.7	-9.7	-9.1	-20.9	-10.4	-28.5	-24.8	-24.8	-15.3
EBIT	166.5	187.6	205.0	223.4	106.8	160.1	237.5	277.0	314.2	332.6
Interest income	0.4	0.4	0.4	0.7	0.4	0.3	0.8	8.1	13.0	10.6
Interest expenses	-1.0	-0.9	-0.3	-0.8	-0.7	-0.6	-0.5	-1.3	-1.7	-1.9
EBT	165.9	187.0	204.2	225.1	102.4	158.9	237.7	284.0	325.9	341.1
Income taxes	-38.8	-44.0	-46.9	-53.5	-22.3	-35.2	-52.0	-68.3	-75.4	-87.2
Net profit	127.1	143.0	157.3	171.6	80.1	123.7	185.7	215.8	250.5	253.8

Balance sheet	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025
Intangible assets	8.8	8.5	8.1	7.3	6.5	8.3	16.0	21.2	19.0	16.0
PP&E	85.1	116.4	142.7	183.3	195.0	196.1	203.9	219.3	227.8	234.6
Inventories	39.2	45.7	57.4	66.0	79.3	97.3	116.3	107.1	107.6	124.3
Trade receivables	100.2	109.7	124.4	125.3	98.8	108.8	174.7	171.7	181.1	199.9
Fixed deposits > 3 months	175.7	70.7	–	–	–	–	–	–	–	–
Other current financial assets	–	–	86.3	101.0	25.9	84.9	133.8	267.6	350.0	359.7
Cash	102.5	196.2	156.8	181.4	231.1	253.7	207.9	138.0	152.5	186.3
Total assets	539.8	570.7	604.4	698.7	670.7	783.8	899.2	966.8	1,106.2	1,183.1
Equity	397.0	424.5	455.5	517.4	535.1	603.3	676.2	738.6	856.9	940.8
Pensions	3.2	3.0	4.7	6.2	6.5	5.8	4.0	5.1	6.0	6.5
Trade payables	25.0	31.3	26.4	25.0	21.2	28.4	36.4	33.1	33.2	32.4
Total equity and liabilities	539.8	570.7	604.4	698.7	670.7	783.8	899.2	966.8	1,106.2	1,183.1

Cash flow statement	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025
CFO	129.5	145.9	144.3	198.6	92.7	171.7	160.6	258.3	283.1	253.1
D&A	9.9	11.8	14.0	25.0	29.3	30.3	30.9	32.6	37.4	37.0
Capex	-24.6	-34.2	-46.2	-40.7	-33.4	-25.8	-37.2	-34.6	-31.6	-33.7
CFI	-96.7	76.9	-55.9	-55.4	38.4	-84.3	-81.9	-161.7	-102.7	-32.3
Lease payments	–	–	–	-8.6	-9.1	-8.5	-9.1	-10.0	-11.3	-11.8
Dividends paid	-85.3	-113.7	-125.1	-108.0	-64.8	-54.6	-113.7	-153.5	-153.5	-170.6
CFF	-86.7	-127.8	-127.6	-119.3	-78.9	-65.9	-124.6	-165.6	-166.2	-183.8
Cash start	156.1	102.5	196.2	156.8	181.4	231.1	253.7	207.9	138.0	152.5
Cash end	102.5	196.2	156.8	181.4	231.1	253.7	207.9	138.0	152.5	186.3

Extracted from the consolidated statements in each annual report (src/build_extracts.py). Blank cells: line not shown separately that year (e.g., deposits included in other current financial assets from 2018).

Appendix C. Comparables inputs

Company	Currency	Price (local)	Market cap (local m)	Net debt (local m)	EBIT FY1	EBIT FY2	EPS FY1	EPS FY2
Rational	EUR	566.50	6,441	-412.00	349.00	376.20	23.98	25.73
Middleby	USD	104.55	4,728	1,586	508.60	541.60	5.53	7.24
Electrolux Professional	SEK	45.75	13,148	932.00	1,233	1,589	3.11	4.04
Hoshizaki	JPY	5,200	724,491	-181,537	58,599	68,010	303.00	352.10

Table C1. Local-currency inputs: price (yfinance), shares (yfinance; Rational 11.37m), FY2026E net debt and FY2026–27E EBIT and EPS (MarketScreener consensus, 7 Oct 2026). Middleby's FY ends in early January.

Appendix D. Two-minute pitch

Sell Rational, 12-month target €414, 27% below today's €566.50.

Rational is one of the best businesses in European capital goods. It has about half of the world market for combi-steamers. It earned a 26% EBIT margin last year, has a 65% return on invested capital and holds €425 million of net cash. I'm not arguing the business is weak. I'm arguing the share price already pays for all of it, and then some.

Three points.

First, growth has normalised. Sales grew 6% in 2024, 5.5% in 2025 and 5.8% in the first half of this year. China fell 29% last year, Asia is still shrinking, and US tariffs are costing about a point of gross margin. My base case is about 6% a year to 2030, a little below consensus.

Second, the discount rate has changed. From 2016 to 2021 the ten-year Bund yielded around zero; today it yields 3.55%. Over the last five years Rational's shares moved 1.7 times as much as the STOXX Europe 600. With a Blume-adjusted beta and Damodaran's 4.2% risk premium, the cost of equity is 9.8%. At today's price the market is discounting at 7.2%, as if this were a low-risk stock.

Third, the valuation doesn't need heroic assumptions to fail. At 9.8%, the price needs either 15% sales growth every year to 2030 or a 38% EBIT margin, against a ten-year high of 27%. My bull case, 28% margins and nearly 7% growth for a decade, is worth €485, still below the share price. 24 of the 25 cells in my sensitivity table say Sell.

The risk to the call is that investors keep treating Rational as defensive and rates fall. The catalysts are the nine-month figures on 5 November, the capital markets day on 19 November and 2027 guidance in March.

Great company, wrong price: Sell, target €414.

Appendix E. Data, method and model

- Annual reports 2016–2025 and the H1 2026 report (rational-online.com). Statements, regional sales and product-group sales are extracted from the PDFs by src/build_extracts.py and reconciled. Regions sum to group sales in every year; gross profit, EBIT and the cash roll-forward reconcile.
- Prices: yfinance (RAA.DE, ^STOXX, MIDD, EPRO-B.ST, 6465.T). Risk-free: Deutsche Bundesbank daily 10-year Bund yield (3.55%; the ECB's euro-area AAA 10-year spot rate was 3.52% on 6 October). ERP: Damodaran ERPbymonth.xlsx. Consensus: MarketScreener pages saved on 7 October 2026.
- Model: model/rational_model.xlsx. Every forecast and valuation cell is an Excel formula. src/check_workbook.py recalculates it in LibreOffice and confirms it matches the Python model (src/model.py) to the cent.
- This report was written as a learning exercise. It is not investment advice, and the author holds no position.